pertaining to one or a small group of commodities. This leaves a ***third phenomenon***, namely one in which there is a price rise of one or a small group of commodities over a sustained period of time, without a traditional designation. '**Skewflation**' is a relatively new term to describe this third category of price rise.

In India, food prices rose steadily during the last months of 2009 and the early months of 2010, even though the prices of non-food items continued to be relatively stable. As this somewhat unusual phenomenon stubbornly persisted, policymakers conferred on how to bring it to an end. The term 'skewflation' made an appearance in internal documents of the Government of India, and then appeared in print in the ***Economic Survey 2009-10***, GoI, MoF.

The **skewedness** of inflation in India in the early months of 2010 was obvious from the fact that food price inflation crossed the 20 per cent mark in multiple months, whereas wholesale price index (WPI) inflation never once crossed 11 per cent. It may be pointed out that the skewflation has gradually given way to a lower-grade generalised inflation. (with the economy in the middle of 2011 inflating at around 9 per cent with food and non-food price increases roughly at the same level).

Given that other nations have faced similar problems, the use of this term picked up quickly, with the ***Economist*** magazine *(Jan. 24, 2011)*, in an article entitled *'Price Rises in China: Inflated Fears'*, wondering if China was beginning to suffer from an Indian-style skewflation.

GDP Deflator

This is the ratio between GDP at *Current Prices* and GDP at *Constant Prices.* If GDP at Current Prices is equal to the GDP at Constant Prices, GDP deflator will be 1, implying no change in price level. If GDP deflator is found to be 2, it implies rise in price level by a factor of 2, and if GDP deflator is found to be 4 , it implies a rise in price level by a factor of 4. GDP deflator is acclaimed as a *better measure* of price behaviour because it covers all goods and services produced in the country (because the weight of services has not been equitably accounted in the Indian 'headline inflation' i.e. inflation at the WPI).